

Homework #1

As of Friday, August 9th, 2019, the EPA has issued 31 waivers that allow refiners to abandon the requirements put in place by the Renewable Fuels Standard (RFS) for blending gas. As of that date, refiners no longer need to follow the regulations for blending ethanol with their gasoline.

These new waivers, among other regulations discussed later, will affect many groups of people that work with ethanol and gas in one way or another. Three major groups that are affected at this point are farmers, refineries, and big oil companies.

First, many farmer's livelihoods are taking a big hit because a large percentage of the corn they produce is no longer needed for ethanol production in refineries. With that in mind, the reduction of ethanol production will leave the farmers with an excess of corn. That, in return, will cause corn prices to completely plummet. Understandably, this has upset and angered many farmers even though just a couple months prior they were praising the EPA for the removal of E15 regulations that resulted in E15 being sold year-round rather than just eight months out of the year [Laca].

Refining companies have also suffered from the new EPA rules. Even though the EPA granted these waivers to alleviate some small refineries from financial hardships they may be dealing with, negative effects also face their companies. With ethanol becoming an expendable chemical in the gasoline process, refiners are no longer blending as much ethanol as they did in the past [Neely]. Reasoning from this fact, refineries have cut down on their production lines which results in the decrease of profits. Since refineries aren't making as much money, they end up cutting wages for production laborers leaving many people jobless.

As for the oil companies, it would be easy to assume that these new rules would only help them grow bigger. Logically speaking, using little to no ethanol in their product will result in the companies being able to sell more of their product, but other factors come into play. One of the most important factors that affect oil companies are California's new

regulations, that have spread to other states. The state of California, one of the biggest markets for the car industry, has been putting regulations in place concerning zero emission vehicles (ZEV). These regulations work to reduce the state's gas emissions and improve air quality. Large vehicle companies such as Ford, General Motors, Toyota and Volvo are trying to push the public towards buying electric cars. With more electric cars out on the road, the car industry is working to address climate change by trying to reach the target goal of 54.5 miles per gallon for cars which was put in place by the Obama administration [Davenport, Automakers]. These regulations clearly aren't good news for oil companies, because once again their commodity doesn't have the demand it once had. When a state such as California decides to turn to renewable energy to run their cars, oil companies are losing one their biggest customers. Even with the Trump administration "rollback" on these regulations, California and other states that have followed in its footsteps, plan on suing the administration to allow them to set their own stricter laws for emission standards [Davenport, Trump].

With that being said, oil companies are still at risk of losing out on a big portion of their profits. To combat this, many oil companies have been moving to renewable energy sources. Companies such as Shell have reportedly spent "1.3% of their 2018 budgets on such things such as wind and solar power and carbon capture" [Silverstein]. This way oil and gas companies will have a plan B to fall back on when necessary. Now that oil companies and several states have been working on using renewable energies in today's cars, the country can greatly reduce its carbon footprint and therefore help the environment. Also, the security of our energy source is positively affected with these all these factors mentioned. When companies work to find alternatives to oil usage in cars, that will prolong the amount of oil the U.S. has as a safety stock because oil reserves aren't depleted as fast as before. That said, the U.S. also can have less of a dependency on other countries for oil.

In all, it is clear that many factors come into play when discussing the future of renewable energy sources, but I truly believe having a reliable alternative energy to back up our oil usage can only lead us to a better place in terms of both energy security and tackling climate change.

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